

halts, no imbalances, always somebody willing to buy or sell. Plus there's competition. With more than one specialist, you may have a better chance of getting a fairer price."

As disappointed as I was to find Angstrom still going nowhere—and with only a computer to discuss the problem—I was impressed by the over-the-counter system. There was no frantic trading, no jostling on the floor, no funny sign language, no haze of nicotine, no overcrowding, no litter, and no mysterious specialist standing at the post with his Book. In fact, it was so quiet you could hear the hum of the Xerox machine. Watching Mr. Hobbing at the terminal, I began to think of the regular stock exchange in an entirely new light. With a well-organized computer market, there was no need for a huge building, the overhead TV monitors, the floor brokers, or the messengers. Perhaps the NYSE is a glorious anachronism, similar to the British royal family or the American horse cavalry, that only makes sense as a tourist attraction.

Back in his office, Mr. Hobbing told me the story of over-the-counter's sudden turnabout from the small, primitive market for forgotten stocks into the most advanced form of trade. Over-the-counter trading began outdoors, where stock certificates were sold on long tables set up under the trees, and the prices marked on makeshift blackboards. This also was the origin of the NYSE, but when that exchange went indoors in the nineteenth century and modernized its methods, the over-the-counter market became the alternative market, diffuse and unregulated. Buyers or sellers were often hard to find, and where prices existed at all, they were found in locally published "pink sheets," frequently out-of-date and/or inaccurate.

Mr. Hobbing said the over-the-counter market got better organized in 1939 when the dealers agreed to a formal code of regulations, under the aegis of the SEC. The resulting organization continued to survive on secondary issues and relatively obscure listings, living off the tidbits ignored by the major stock exchanges, until the arrival of the computer. Almost overnight, the disadvantage of this loose collection of far-flung dealers became its greatest asset. Big outfits like the NYSE and the AMEX, having invested so much in their buildings, their trading floors, their seats, their pageantry, and their specialists, were naturally reluctant to trade